

An amount of import or export duty shall be repaid or remitted where, as a result of an error on the part of the competent authorities, the amount corresponding to the customs debt initially notified was lower than the amount payable, provided the following two conditions are met:

- The debtor could not reasonably have detected that error, and
- The debtor acted in good faith.

The competent authority may be the customs authority of a Member States, or the Commission.

Applications for repayment or remission under this provision must be made within 3 years of notification of the customs debt.

Under this provision, the repayment or remission can be granted either on the initiative of the customs authorities or following an application by the person concerned.

10.2.5 Equity

The legal basis for granting repayment in the interest of equity is provided for in Article 120 UCC.

It must be noted that all applications for repayment or remission on the basis of Article 120 UCC must be referred for a decision to Traditional Own Resources Unit (TOR), Customs Division, Dublin Castle. Only the TOR Unit is competent to make a decision under Article 120.

An amount of import or export duty shall be repaid or remitted in the interest of equity where a customs debt is incurred under special circumstances.

The following two conditions must be met:

- The existence of a special situation, and
- The absence of obvious negligence or deception.

Consequently, repayment or remission of duties must be refused if either of the conditions are not met.

The special circumstances referred to above shall be deemed to exist where it is clear from the circumstances of the case that the debtor is in an exceptional situation as compared with other operators engaged in the same business, and that, in the absence of such circumstances, s/he would not have suffered disadvantage by the collection of the amount of import or export duty.

Applications for repayment or remission under this provision must be made within 3 years of notification of the customs debt.

Under this provision, the repayment or remission can be granted either on the initiative of the customs authorities or following an application by the person concerned.